



CAM Reconciliation Audit Checklist

Verify every charge. Recover what's yours.

Section 1 - Pre-Audit Setup

- ☐ Pull the lease, all amendments, and exhibits before requesting landlord's reconciliation
- ☐ Identify the lease year(s) being audited and confirm the audit rights window (typically 1-3 years)
- ☐ Confirm your pro-rata share in the reconciliation matches the lease's calculation method
- ☐ Request the landlord's full operating expense breakdown by line item for the audit year
- ☐ Document the controllable expense base for cap calculations

Section 2 - Gross-Up Verification

- ☐ Identify any partial-occupancy years where expenses were grossed up
- ☐ Confirm gross-up percentage used (typically to 90% or 95% occupancy)
- ☐ Verify that only controllable expenses were grossed up, not utilities or insurance
- ☐ Cross-reference gross-up calculation against actual occupancy data

Section 3 - Exclusions Audit

- ☐ Compare each line item against the lease's exclusions schedule
- ☐ Common exclusions to check: capital improvements, landlord depreciation, leasing commissions, advertising, financing costs
- ☐ Flag any management fee exceeding the lease's stated cap (typically 3-5% of gross revenues)
- ☐ Identify any single-tenant costs charged to the common area pool

Section 4 - Capital Expenditure Treatment

- ☐ Separate capital from expense line items in the landlord's statement
- ☐ Confirm capital items are amortized (not expensed) over useful life per the lease
- ☐ Verify amortization period aligns with lease requirements
- ☐ Flag any capital items added in the final 3 years of the lease term

Section 5 - Pro-Rata Share Verification

- ☐ Confirm denominator used: total rentable, occupied, or leased area
- ☐ Verify denominator against current rent roll and lease provisions
- ☐ Calculate your pro-rata share independently and compare
- ☐ Flag discrepancies greater than 0.5% as material

Section 6 - Administrative & Management Fees

- ☐ Confirm management fee is applied only to eligible expenses per the lease
- ☐ Check whether management fee is included in the CAM cap calculation
- ☐ Verify no double-counting of management fee and other administrative costs
- ☐ Compare management fee percentage to lease provision and market norms (3-5%)

Section 7 - Controllable Expense Cap

- ☐ Identify all controllable expenses subject to the annual cap
- ☐ Confirm cap percentage (typically 3-5% year-over-year or cumulative)
- ☐ Calculate maximum allowed controllable pass-through based on prior year actual
- ☐ Flag any year where controllable expenses exceeded the cap

Section 8 - Reconciliation Math Check

- ☐ Recompute tenant's share from line items independently
- ☐ Compare to landlord's billed amount
- ☐ Calculate estimated over/under-payment
- ☐ Document findings for demand letter or negotiation

Section 9 - Document Request Package

- ☐ Annual CAM reconciliation statement with tenant ledger detail and all monthly estimated CAM payments credited
- ☐ General ledger export for each operating expense account included in CAM
- ☐ Vendor invoices for every line item over 10% of total CAM or any item that increased more than 15% year over year
- ☐ Management agreement and fee calculation schedule showing the fee base used by the landlord
- ☐ Insurance premium invoices, tax bills, utility bills, and payroll allocation schedules
- ☐ Capital project invoices, amortization schedule, useful-life support, and interest rate used

Section 10 - Receipt Tracking

- ☐ Log request date, landlord response deadline, documents received, and missing document follow-up date
- ☐ Mark incomplete support as disputed until landlord provides invoice-level detail
- ☐ Keep original files untouched and work from copies so the audit trail remains clean

Section 11 - Cap Calculation Checks

- ☐ Start with prior year actual controllable expenses after removing exclusions and non-controllable charges
- ☐ Apply the contractual cap percentage only to expenses the lease defines as controllable
- ☐ For non-cumulative caps, compare current year controllable expenses to prior year allowed controllable expenses
- ☐ For cumulative caps, calculate unused carryforward and document the cumulative cap bank
- ☐ Remove taxes, insurance, utilities, snow removal, and other non-controllable costs before cap testing when required

Section 12 - Overcharge Summary

- ☐ Calculate gross billed CAM less allowed CAM before applying tenant pro-rata share
- ☐ Multiply disallowed expense by tenant pro-rata share and tie to the amount billed
- ☐ Separate confirmed overcharges from documentation gaps that require follow-up
- ☐ Add interest only if the lease, statute, or settlement position supports it

Section 13 - Dispute Notice Workflow

- ☐ Confirm the dispute deadline and notice method before sending any preliminary findings
- ☐ State the audit year, disputed categories, requested backup, and reservation of rights clearly
- ☐ Attach a summary schedule showing lease clause, landlord charge, allowed amount, and variance
- ☐ Send by the lease-required method and keep delivery confirmation with the audit file
- ☐ Calendar response deadlines, follow-up calls, and any tolling agreement dates

Section 14 - Settlement Preparation

- ☐ Rank findings by documentary strength: clear lease violation, unsupported charge, market reasonableness issue
- ☐ Separate refund request, future billing correction, and backup-documentation request
- ☐ Prepare a clean executive summary that a property manager can approve without reading the full audit file
- ☐ Track agreed credits through the next reconciliation so the recovery is actually received

Section 15 - High-Risk Line Items

- ☐ Repairs and maintenance: inspect large one-time repairs for capital treatment or tenant-specific benefit
- ☐ Security: confirm service hours, staffing levels, and allocation across common areas versus tenant spaces
- ☐ Utilities: verify meters, vacant-space allocations, after-hours charges, and non-recoverable tenant usage
- ☐ Insurance: separate property insurance, liability insurance, deductibles, and landlord corporate coverage
- ☐ Taxes: confirm appeals, refunds, special assessments, and tax consultant fees are handled as the lease requires
- ☐ Payroll: verify only on-site personnel and permitted overhead allocations are included

Section 16 - Evidence File Naming

- ☐ Name files by audit year, expense category, vendor, and invoice date so support can be traced quickly
- ☐ Keep a findings index with one row per disputed charge and links to support documents
- ☐ Mark each finding as lease-supported, documentation-supported, both, or unresolved
- ☐ Retain a clean copy of the final reconciliation and a marked copy with audit annotations

Appendix - Audit File Index

- ☐ Lease and amendment package with highlighted CAM, audit rights, cap, exclusion, tax, insurance, and notice provisions
- ☐ Landlord reconciliation statement, tenant ledger, prior-year statement, and annual budget for variance testing
- ☐ Expense support folder organized by category with invoice, contract, and payment backup where available
- ☐ Calculation workbook showing allowed CAM, disallowed CAM, cap calculation, pro-rata share, and tenant recovery request
- ☐ Correspondence log with request dates, landlord responses, follow-up notes, dispute notices, and delivery confirmations
- ☐ Settlement tracker showing requested credit, agreed credit, payment timing, and next reconciliation confirmation

Final Review Before Sending Findings

- ☐ Every disputed charge ties to both a lease clause and a supporting document gap or invoice-level issue
- ☐ All math is reviewed independently and formulas are locked before the summary is sent
- ☐ The dispute notice deadline is confirmed one last time against the lease and receipt date

Let Lextract flag CAM issues before your audit rights expire

-  Upload your lease - Lextract extracts CAM provisions, caps, exclusions, and pro-rata share methodology
-  Every CAM clause is validated and flagged if it deviates from market standard
-  Export your abstraction to share with your auditor before the window closes

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